

DANGOTE REFINERY & PETROCHEMICALS FZE

Is ₦525 Fair?

A short investor snapshot for the Dangote Refinery IPO — built from the same numbers, valuation framework and scenarios used in the full research report.

₦525

IPO OFFER PRICE

\$47.82B

POST-IPO EQUITY VALUE

\$13.91B

H1 2026 REVENUE

\$1.82B

H1 2026 NET PROFIT

THE SHORT VERSION

The business has improved sharply. The investment question is whether the H1 2026 earnings level can hold long enough to support the ₦525 IPO price.

What has changed

- Utilisation: 34.6% in FY2024 → 63.1% in FY2025 → 83.6% in H1 2026.
- Revenue: \$6.34B in FY2024 → \$12.33B in FY2025 → \$13.91B in H1 2026.
- Net profit: a \$1.51B loss in FY2024 → a \$480M loss in FY2025 → \$1.82B profit in H1 2026.
- Refining margin: \$10.70/bbl in FY2024 → \$13.70/bbl in FY2025 → \$24.50/bbl in H1 2026.

The numbers that matter for the price

\$49.22B

BUSINESS VALUE

\$4.92B

EARNINGS NEEDED AT 10×

\$5.20B

ANNUALISED H1 RUN-RATE

~\$280M

HEADROOM

The 10× EV/EBITDA multiple is our analytical assumption, not a company forecast. Annualised H1 2026 means H1 2026 × 2; it is a run-rate, not a forecast.

WHAT TO TAKE AWAY

At ₦525, the valuation has limited room for earnings to weaken. The main thing to test is whether the current refining margin and utilisation can remain strong under more normal market conditions.

VALUATION & SCENARIOS

What does ₦525 already assume?

We tested the offer price using the same 10× EV/EBITDA framework and scenario assumptions used in the full report.

Scenario	GRM	EBITDA	Implied Price	vs ₦525
Stress	\$12/bbl	\$3.00B	₦314	-40.2%
Bear	\$15/bbl	\$3.50B	₦369	-29.7%
Base	\$18/bbl	\$4.20B	₦446	-15.1%
Strong	\$21/bbl	\$5.00B	₦534	+1.6%
Bull	\$24.50/bbl	\$5.50B	₦588	+12.1%

THE VALUATION TEST

The Base case is ₦446, below the ₦525 offer price. The Strong case is ₦534, only slightly above the offer price. The Bull case uses the H1 2026 refining margin of \$24.50/bbl.

Three questions for an investor

- 1. Margin: Can refining economics stay healthy if the exceptional H1 2026 market conditions cool?
- 2. Execution: Can the next phase of expansion be completed without major delays or cost pressure?
- 3. Valuation: Is the expected long-term earnings power strong enough to justify paying ₦525 today?

What the price implies

Metric	Project figure	Why it matters
IPO price	₦525/share	Reference price for the analysis
Equity value	\$47.82B	Post-IPO value at the project FX convention
Business value	\$49.22B	Equity value + \$1.40B net debt
10× EV/EBITDA requirement	\$4.92B	Sustainable operating earnings needed under our framework
Annualised H1 2026 run-rate	\$5.20B	H1 2026 operating earnings × 2

Important: These scenarios are not predictions. They show how the implied value changes when earnings assumptions change.

WHAT COULD CHANGE THE DECISION?

The upside case needs proof. The downside case has clear triggers.

The full report identified the following operating, funding and valuation risks. These are the points to watch after the IPO as more results become available.

Risk	Why it matters
Refining margin normalisation	H1 2026 was \$24.50/bbl, well above \$13.70/bbl in FY2025 and \$10.70/bbl in FY2024.
Expansion funding	\$11.80B of expansion spending remains through 2028.
Execution & commissioning	Delays could push back the earnings expected from additional capacity.
Crude supply	Lower or more expensive feedstock can reduce throughput and margins.
FX & debt cost	The business operates across currencies and still carries gross debt of about \$5.67B.
Tax / regulation	Changes to the tax regime or operating rules can affect after-tax returns.
Valuation multiple	A lower market multiple can reduce the share value even if earnings improve.

Investor checklist

- Check the next results: Is utilisation still high and is the refining margin moving toward a more normal range?
- Check cash generation: Is operating cash flow keeping pace with reported earnings?
- Check expansion: Is the remaining \$11.80B programme progressing on time and within budget?
- Check valuation: Does the share price still leave enough room if earnings are lower than the H1 2026 run-rate?

OUR PROJECT CONCLUSION

WAIT / WATCH. The conclusion is based on the project's valuation framework: the ₦525 price sits above the Base scenario of ₦446, while the current H1 2026 earnings run-rate leaves only about \$280M of headroom over the \$4.92B requirement under the 10× framework.

This is not a yes/no instruction

This snapshot is designed to give a reader the main facts, valuation range and risks quickly. The final decision should depend on the investor's own view of sustainable earnings, risk and price. The full report contains the methodology, detailed calculations, peer data and source notes.

Key reference links

[Nigeria SEC — Dangote Refinery IPO notice](#)

[Dangote IPO official website](#)

[Reuters — IPO facts](#)

[Reuters — H1 2026 earnings](#)

[Proshare — valuation discussion](#)

[MyStocks Africa — investment note](#)

Source base: Dangote Refinery IPO Prospectus & H1 2026 disclosures; project PostgreSQL model; Power BI dashboard; peer-company disclosures; selected current external reporting. Figures and scenarios are presented as used in the project. This document is independent research for informational purposes and is not a prospectus or personalised investment recommendation.